

1128.HK pitch deck

PITCH — 1128.HK — PROPOSED VERDICT

REJECT — no entry, no orders. (PROPOSED — PENDING ADJUDICATION.) Both benches independently reached REJECT at conviction 8/10. The growth story died on volume, the income story died on capital spending, and the name is too well-covered for either to be a secret.

What we believe

Wynn Macau (1128.HK) is not the cheap compounder the original thesis claimed. The pitch had two legs, and our own adversarial review killed both:

The growth leg is an accounting shadow, not demand. Wynn Palace's mass-market casino earnings grew ~27% year over year in Q2 2026, but the amount of money customers actually put on the tables (the "drop") grew only 3.0% — from \$1,844M to \$1,900M. The entire earnings jump came from the house win percentage spiking to 29.7% from 22.3% a year earlier ([Wynn Resorts Q2 2026 release](#)). Our review's key insight: this is not a lucky streak. VIP betting turnover collapsed at the same time (–32% at Palace, –56% at the peninsula property), and when high-volume/low-margin VIP play exits, the blended win percentage on what remains mechanically rises. The elevated win rate is the *shadow of missing premium volume*, not new demand. Consistent with that: the win percentage was a normal 21.8% as recently as Q4 2025 — the elevation is first-half-2026 only, exactly when VIP volume halved. Recomputed at a normal win rate, Macau earnings growth in the first half was roughly zero.

The income leg doesn't survive the capital-spending bill. The thesis said ~\$600M of annual cash generation comfortably covers the ~\$272M dividend. It counted only maintenance-level spending and omitted the board-approved growth program: the [US\\$950M Enclave tower at Wynn Palace](#) (land approval [cleared July 2026](#)) plus an event center and theater through 2028, with 2026 Macau expansion spending guided at \$350–400M. Part of this program is required under the 2022 government concession, so it cannot be deferred to protect the dividend. True free cash flow after growth spending (~\$250–350M) roughly equals the dividend — meaning zero debt paydown at ~3.7× leverage, with a US\$600M convertible bond due 2029 unaddressed.

A watch-item, not a kill: the 72% parent (Wynn Resorts) needs cash for its UAE project (budget up \$600M, opening slipped to 2027), which makes the near-term dividend declaration *more* likely — the parent wants the money upstream — but pushes the real payout-cut risk to the final dividend around March 2027. Minority holders' income is being funded by balance-sheet degradation.

What the market believes

The market appears to have this roughly right, which is uncomfortable but true. The stock trades at 5.71, down 23% from its 52-week high, at about 7× earnings — a multiple that *looks* cheap against reported growth. But the operating detail has been public since the parent's August 4 results, the name carries

20+ sell-side analysts, and the stock did not re-rate on the “+27%” quarter (it fell 4.9% in July and was down 0.7% on August 10). Professional analysts routinely adjust casino results for win-percentage swings. The market is pricing a covered, leveraged Macau operator whose headline growth is win-rate-driven and whose dividend competes with a mandatory building program.

Why we might have edge

Honestly: not much, and not enough to own the stock. What survives the court:

1. **A sharper decomposition than the consensus shorthand.** The distinction between “lucky win rate” (mean-reverts, strip it out) and “composition effect from VIP exit” (persistent while VIP stays away, but not creditable as demand growth) is more precise than typical hold-adjustment, and it produces testable predictions — see the reopen conditions below.
2. **A dated, checkable trigger list.** We know exactly what would make this name interesting again, and when the data arrives (August 19 interim results; September 1 Macau government monthly revenue data).
3. **A cross-name insight.** Wynn’s own tape — premium volume shrinking while win rate masks it — weakly *supports* the broader thesis that the Asian premium gambling wallet is being diverted, which feeds our related Wynn Resorts (parent) work. The Macau interest, if any, lives in that pairing, not in owning 1128 outright.

Why it might be priced in

Because it demonstrably is. Twenty-plus analysts, the operating data public for a week before our review, and no upward re-rating on the headline growth number. The “cheap on rising numbers” observation is consensus-visible, and the consensus correctly declined to pay for win-rate-driven numbers. Separately, the dividend-repeat scenario at the August 19 interim (HK\$0.185, matching precedent) is the *expected* outcome — precedent-priced — so there is no asymmetric upside in holding through the announcement; the asymmetric surprise is a capex-driven dividend rebase, which is a downside event.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Palace premium-mass earnings compounding, +27%”	Pulled the parent’s Q2 2026 primary release ; recomputed at normal win rates	Table drop grew only +3.0%; win % 29.7% vs 22.3% explains ~\$140.6M of win vs a +\$44M earnings delta; normalized growth $\approx$ flat	REFUTED (thesis killed)
Red bench’s mechanism: “the win-rate spike is luck / will mean-revert”	Blue bench cross-checked the FY2025 release: Q4-25 win rate was a normal 21.8%; VIP turnover –32% coincident with the 1H26 spike	Our own red bench erred: it’s composition (VIP exit inflating the blended rate), not luck. Kills the <i>growth</i> claim either way, but partially preserves the earnings <i>level</i> — red’s “flat normalized” modestly overstated the damage	Corrected; kill sustained

Claim	How checked	Found	Confirmed?
Red bench's normalization basis (25.9% average win rate)	Blue bench audit	Second red error, in the thesis's favor: the 25.9% average includes the already-elevated Q1-26; the cleaner FY25 basis (~23%) is harsher on the thesis. Red was generous, not aggressive	Corrected
"\$600M cash headroom covers the dividend"	Primary capex sources: Enclave announcement, July land approval, Q2 call guidance, CreditSights note	Omitted \$950M+ approved growth program, partly concession-mandated; FCF after growth capex $\approx$ dividend; no deleveraging at 3.7 $\times$; 2029 convertible unaddressed	REFUTED (thesis killed)
VIP win rates as an offset	Same Q2 table	Small (~\$10–12M) — immaterial either way	Confirmed, immaterial
Already priced by the market	Tape + coverage count	No re-rate after the parent's Aug 4 print; 20+ analysts	Confirmed
Parent cash extraction motive	UAE budget/timeline primaries	Confirmed, but dual-edged: raises odds of the Aug 19 dividend, shifts cut-risk to the Mar 2027 final	Confirmed (watch-item)
Share count 5.20bn	TradingView only	Secondary source; the HKEX monthly return was never pulled	Plausible, unverified
Aug 19 results date	yfinance-derived; searched for a board-meeting notice	No company confirmation found; precedent: 2025 interim declared Aug 20	Unconfirmed
Tradability in our brokerage account	IBKR contract lookup	Permission denied — third consecutive session	Unverified

The original thesis also claimed to have “refuted” the wallet-diversion briefing; the court overturned that too — this tape weakly supports wallet diversion.

PROPOSED ENTRY BANDS

The courts say no entry at any price today — the findings are about business quality (volume shrinking, capex consuming the dividend), which per our discipline cuts size to zero rather than setting a cheaper buy price. Accordingly, these are **reopen conditions**, not buy orders:

- **Reopen #1 — volume-confirmed win rate (Q3 2026 data, via the parent's ~early-November release):** Palace mass win rate $\geq 28\%$ **together with** mass drop growth $\geq 5\%$ year over year. Rate *and* volume rising together would mean genuine premium demand, not composition. Either alone does not reopen.
- **Reopen #2 — dividend with a funding plan (Aug 19, 2026 interim):** interim dividend declared at $\geq \text{HK\$}0.185$ **together with** an explicit Enclave funding plan that caps net leverage at $\leq 3.5\times$. A dividend declaration alone does not reopen — that outcome is already expected and priced.
- **Reopen #3 — market-wide volume reversal (Sept 1, 2026, Macau DICJ monthly data):** August gross gaming revenue reversing on *volume*, with Wynn properties gaining share.

- **Price-retest review only:** a break below the 52-week low of **HK\$4.87** triggers a review of whether the market is now overshooting our own bear case — it does not itself authorize a buy, because nothing in the kill was valuation-based.
- **Pre-announcement stance:** flat into August 19. Sizing: 0% of book.
- **Do-not-double-enter:** any future Macau exposure must be reconciled with the open Wynn Resorts (parent) pair question first — one Macau bet, not two.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.87 (deck-provisional: 52-week low retest — review-only, kill was volume/capex not valuation)
- dated pack 1128.HK|2026-08-19: 1128.HK: 1128 interim results + dividend declaration (yfinance-derived; precedent 2025-08-20) (date confirmed=False)
- dated pack 1128.HK|2026-09-01: 1128.HK: DICJ August GGR — volume-reversal reopen test (date confirmed=False)

What remains unverified

- **Share count (5.20bn)** — secondary source only; the HKEX monthly return has not been pulled.
- **The August 19 results date** — derived from a data vendor; no board-meeting notice located. Precedent (Aug 20, 2025) supports the vicinity but not the day.
- **Whether we can actually trade it** — the IBKR contract lookup has been permission-denied in three consecutive sessions; executability in our account is standing-unverified.
- **Premium-mass table mix** — no disclosure exists that would cleanly separate “composition” from “structurally smarter tables”; the court’s composition reading rests on the VIP-turnover coincidence, which is strong but circumstantial. The Q3 volume test is the resolver.
- **Hong Kong Takeovers Code minority-protection text** (the 10% blocking mechanics) — never read; only relevant if the parent ever moves on the minority.
- **The cause of the July Macau revenue pocket** (typhoon vs demand) — no tool coverage.

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